

MARKET ANALYSIS

Hawthorne's \$90M Bankruptcy Sale: When a Single Bid Reveals the Cost of Illiquidity

One stalking horse bidder at \$90M for a 108-acre infill site shows the gap between asset story and market clearing price.

July 16, 2026 | Bisnow Chicago

A source-grounded Light Tower Insight.

A 108-acre infill parcel with heavy industrial zoning, multimodal logistics connectivity, and a century of operating history drew exactly one qualified bidder in a bankruptcy auction. That is the most revealing number in the Hawthorne Race Course sale.

The track filed for Chapter 11 in February with debts exceeding \$100 million. An entity called Allimac 2023 LLC offered \$90 million as a stalking horse bid, setting the floor. By Tuesday's auction deadline, no other qualified bidder emerged. Bankruptcy Judge Timothy Barnes must still approve the sale, but the competitive dynamic is already settled.

The transaction matters because it tests a core assumption that has driven infill land pricing across U.S. metros: that irreplaceable location will always attract multiple capital sources. Hawthorne's outcome suggests that assumption now requires a discount large enough to compensate for uncertainty about use, timeline, and exit.

Hilco Global marketed the property as a redevelopment play. The firm's June press release emphasized strategic location, heavy industrial zoning, and what it called one of the largest infill development parcels in the Chicago area. Steve Madura, Hilco's managing director of operations, described a rare opportunity to reimagine a landmark asset.

That language is standard for a marketing assignment. The market's response is not. One bidder at \$90 million against \$100 million-plus in debt means the property's value in its current use is below its debt, and its value in a future use is uncertain enough that no second buyer would pay the floor price.

This is the underwriting condition that separates an investable deal from an attractive story. An attractive story says: 108 acres, infill, industrial zoning, multimodal logistics, Chicago market. An investable deal requires a buyer who can underwrite the carrying cost through an uncertain entitlement and development timeline, the environmental liability of a century-old racetrack, the political risk of ending horse racing in the Chicago area, and the exit basis that will produce a

The single bid suggests that no second party could make those numbers work at \$90 million. That is not necessarily a sign that the asset is overpriced. It is a sign that the market's required discount for complexity and timeline risk has widened.

The cast of parties reveals the pressure points. The debtor needs to exit bankruptcy with a sale that satisfies creditors. The stalking horse buyer needs a price low enough to compensate for the risk of being the only bidder and the cost of capital tied up during redevelopment. The Illinois Thoroughbred Horsemen's Association faces the end of horse racing in the Chicago area, following Churchill Downs' 2021 closure of Arlington International Racecourse. The 290 workers who could be laid off if racing ceases represent a political and community constraint that any buyer must manage.

The mechanism producing the pressure is liquidity scarcity for complex, non-stabilized assets. Bankruptcy sales are designed to create a clearing event, but they cannot manufacture competitive tension where none exists. When only one bidder appears, the clearing price reflects that bidder's required return, not a market-clearing equilibrium.

What the market should test next is whether this pattern repeats for other large infill parcels with use uncertainty. If Hawthorne's outcome becomes a comp, owners of similar assets may need to adjust basis expectations downward before bringing them to market. Lenders underwriting land or redevelopment loans should stress-case for single-bidder scenarios. Buyers should ask whether the discount they require is large enough to be the only bidder in the room.

The Illinois Thoroughbred Horsemen's Association told members that the track was sold to a non-racing entity but that racing would continue until further notice. That phrasing captures the tension: the current use is ending, the future use is unclear, and the capital that bought the asset is betting on the land, not the operation.

Hawthorne Race Course opened in 1891. It survived depressions, wars, and the rise of competing entertainment. What it could not survive was a capital structure that owed more than the market would pay, combined with a use that no longer generated enough cash flow to service that debt.

The sale is not proof that infill redevelopment is dead. It is proof that the gap between story and underwriting has widened, and that the market is rewarding only the buyer willing to be alone at the clearing price.